

might include: Memorex high 173⅞, Ampex high 49⅞, Levitz Furniture high 60½, Mohawk Data Sciences high 111, Litton Industries high 101¾, Kalvar high 176½.

The list could go on and on and on. However, more examples would serve only to make the same point over and over. Since it should already be quite apparent how important is the habit of evaluating any difference that may exist between a contemporary financial-community appraisal of a company and the fundamental aspects of that company, it should be more productive for us to spend our time examining further the characteristics of these financial-community appraisals. First, however, to avoid risk of misunderstanding, it seems advisable to avoid semantic confusion by defining two of the words in our original statement of the rule governing all major changes in the price of common stocks: *Every significant price move of any individual common stock in relation to stocks as a whole occurs because of a changed appraisal of that stock by the financial community.*

The phrase “*significant price changes*” is used rather than merely “price changes.” This is to exclude the kind of minor price variation that occurs if, say, an estate has twenty thousand shares of a stock that a clumsy broker rapidly dumps on the market with the result that the stock drops a point or two and then usually recovers as the liquidation ends. Similarly, at times an institution will determine that on going into a new situation it must buy a minimum number of shares. The result is frequently a small onetime bulge that subsides on completion of this sort of buying. Such moves, in the absence of a genuinely changed appraisal of the company by the financial community as a whole, have no important or long-term effect on the price of the shares. Usually such small price changes disappear once the special buying or selling is over.

The term “financial community” has been used to include all those able and enough interested to be potentially ready to buy or sell a particular stock at some price, keeping in mind that, with regard to impact on price, the importance of each of these potential buyers and sellers is weighted by the amount of buying or selling power each is in a position to exercise.